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JPM FX - Derivatives Chartpack Notes

Vanilla ratio put spreads as USD/MXN vols normalize

- MXN vols got quite bruised on the back of the surprise Mexico election outcome. As investors digest the outcome the multi-sigma jump in vol surface pricings should subside, though full normalization will depend on any further deleveraging.
- Net vol short but long skew 1*2 ratio put spreads in USD/MXN look suitable for tactically participating in the normalization, in vanilla expression particularly, though delta-hedged expression is worth considering as well.

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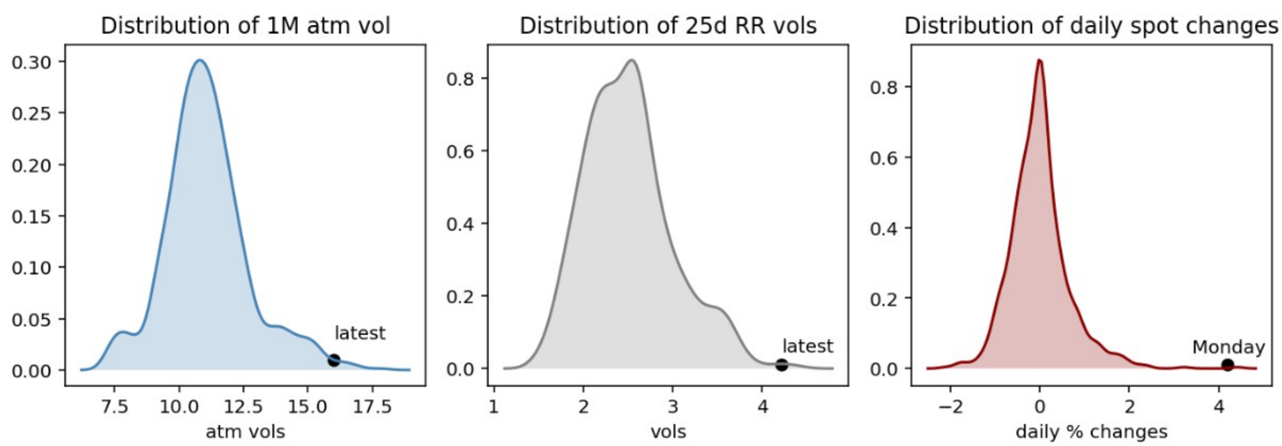
The surprise Mexico election outcome has caused quite a stir with the size of the sell-off that has been seen only on two other occasions in the last 10 years: the onset of COVID in 2020 and the 2016 US election surprise.

On the back of the violent spot price action but also amid the newly heightened uncertainty around the new Mexico government, the tail behavior was clearly expressed both in spot and vol markets (**Figure 1**). MXN vol surface pricing got catapulted to multisigma levels already on Monday, and the move higher continued on Tuesday amid further sell-off in spot markets (**Figure 2** and **Figure 3**).

Figure 1: Monday tail event percolated both spot and vol

Post-COVID.



Source: J.P. Morgan,

Wile the backdrop remains fluid the pricing looks quite overdone, particularly considering that our analysts' original assumptions about continuity may very well hold. A couple of observations about the MXN vol surface backdrop:

- The front end vol curve inversion (1wk - 3M) is one of the largest since 2020.

See page 5 for analyst certification and important disclosures.

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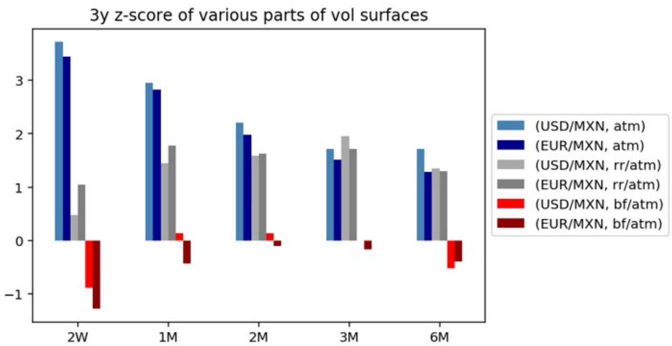
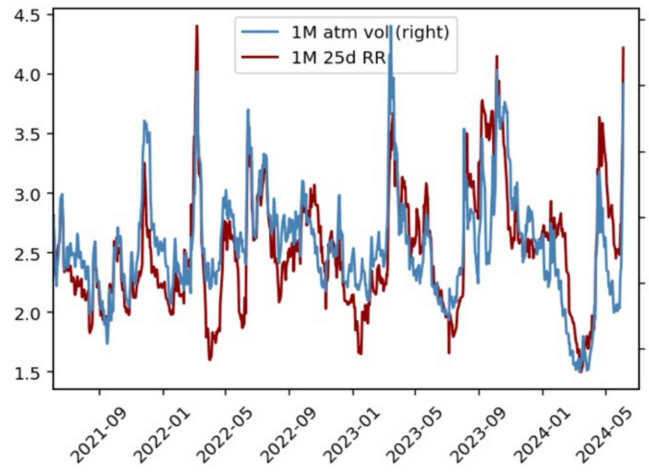
- 1M implied vol pricing after the ~6vol jump largely caught up with the trailing realized vol and at this point is undershooting it by less than 0.5vol pts. That makes for a lopsided backdrop. Our Attention gamma trading model is expecting MXN realized vol to underperform from here (**Figure 4**).
- Alongside atm vols, convexity got priced sharply higher (reaching the levels that are among the highest in the post-COVID period), though the spike in pricing is just commensurate with the spike in the atm vols.
- 1M skew is now the widest since 2020. Relative to ATM vols, riskies pricing looks more extended in 1M to 3M expiries than at the very front, e.g., in 2wk options.

Figure 2: MXN vol surface at multi sigma dislocations ...



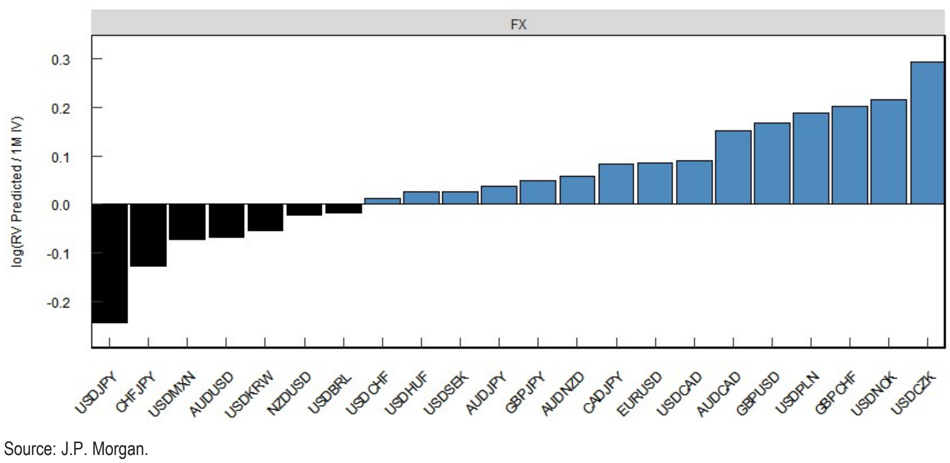
Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 3: … as vols and riskies reach the levels briefly seen only on a few occasions over last few years.



Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 4: MXN realized vol is expected to underperform from here.



Source: J.P. Morgan.

- An analysis of normalization dynamics in vol pricing around historical atm vol highs (1M atm vol peaks) finds calendars and skew consolidation to be lagging the atm vol normalization. There is a bias in the analysis as we are ex-post choosing as our reference points the days when ATM vol peaked. Still, the analysis highlights that, as is usually the case due to spot-vol corr, that skew tends to lag in the normalization (**Figure 5**).

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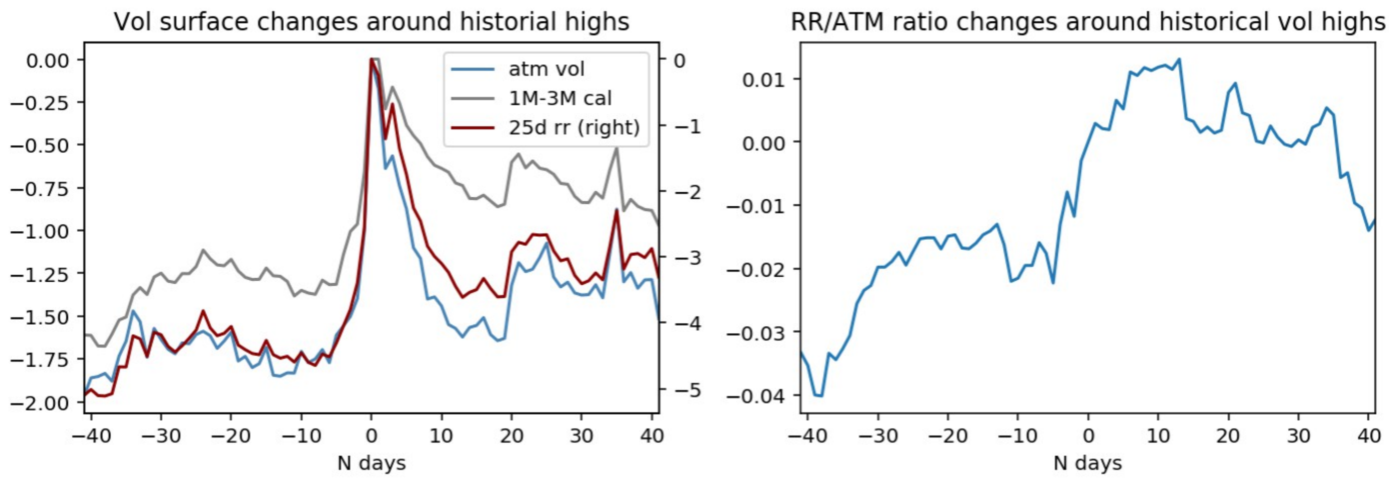
- Exponential fit of the normalization profiles finds half-decay to be on the order of 5-8 days for atm vols, rr, and calendars (though the speed of normalization is highly variable). The bulk of normalization (90%) then on average completes within roughly three weeks.

Figure 5: Historical price dynamic around 1M atm vol highs finds skew consolidation lagging, as is usually the case.



Source: J.P. Morgan.

The type of trades that leverage the current vol surface backdrop, namely the more persistent skew pricing as vols and spot normalize are the ones that are long skew while being net short vol. Vanilla USD/MXN 1*2 ratio put spreads cleanly express that bias, while also avoiding exposure if the sell-off resumes – some of the candidates are shown in **Figure 6**.

Figure 6: Vanilla 1*2 put spreads are geared right to benefit from spot and vol normalization.

*USD/MXN 2M 1*2 ratio put spreads, spot ref 17.55.516*

K Near	K Far	P Near (bp)	P Far (bp)	Spread Price (bp)	Max Payout (bp)	Max Payout Cost Ratio	Discount To Outright Vanilla	Net Delta	(Delta1,Delta2)	Net Vega (bp)
17.50	17.10	165	70	24	234	9.9	86%	8.1	(-49.6, -28.9)	-11.1
17.30	17.00	114	56	3	176	62.4	98%	8.5	(-39.4, -24.0)	-9.3
17.40	17.00	138	56	27	235	8.8	81%	3.3	(-44.6, -24.0)	-8.8
17.50	17.00	165	56	54	294	5.5	67%	-1.7	(-49.6, -24.0)	-8.6

Source: J.P. Morgan.

The delta-hedged version of the same carries more risk, though it shows drawdown on strong upticks in vol as net short vol overcomes the long skew angle, but the 1*2 delta-hedged structures tend to be efficient in bouncing back **Figure 7**.

On the back of this week's developments and pop higher in USD/MXN, we buy back the nearly worthless short leg of our aged -2M / +4M EUR put/MXN call 17.80 digital calendar, in anticipation of some degree of potential normalization in the coming days, which should benefit the long digi (see **Figure 8**) **Figure 6**.

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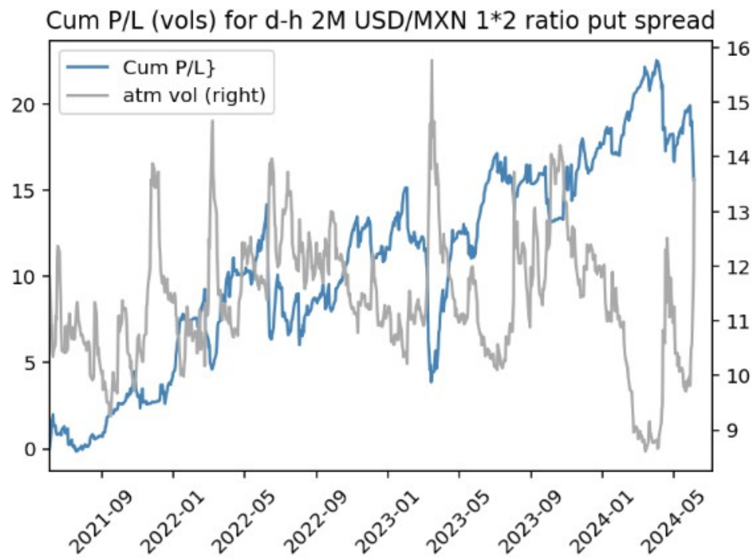
Figure 7: Drawdowns occur despite the long skew angle, but 1*2s tend to be efficient in bouncing back.



Source: J.P. Morgan.

Figure 8: Current trade recommendations and P/L

Description	Entry date	Entry	Current mid	P/L	P/L units	Remarks
Buy near zero cost -2M / +4M EUR put/MXN call 17.80 digital calendar	17-May-24	2.0	2.7	0.7	%	Buy back the short 2M leg at 1% (June 4nd)
Buy 3M 1% OTMS USD put/PHP call vs. Sell 3M 1% OTMS USD put/CNH call, both legs live, for zero-cost	03-May-24	0.0	-11.1	-11.1	bps	late-week USD de-leveraging trade
Open a long GBP/USD vs. short CHF/USD 3M 25D risk-reversal RV, delta-hedged	19-Apr-24	1.5	1.1	-0.4	vol pts	Efficient participation in USD/high beta riskies performance
Short 3M vs. long 6M 88.25 strike EUR put/INR call at-expiry digital calendar spread	05-Apr-24	4.2	7.9	3.7	%	Fading INR curve flatness
Buy delta-hedged 2M long AUD/CHF straddle vs short EUR/AUD straddle	05-Apr-24	1.4	1.5	0.1	vol pts	CHF x-vol perofrmance
Buy delta-hedged 6M EUR/BRL atm/25d call spread, vega weighted	22-Mar-24	1.0	0.2	0.8	vol pts	Skew carry
Sell a 6M USD/CNH vs. EUR/CNH correlation swap	08-Dec-23	23.0	-9.0	32.0	corr pts	Fading the spike in USD/Asia vs. EUR/Asia correlations

Source: J.P. Morgan.

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